T-12 OPERATING STATEMENT

Dunmore Calloway Health Center | Boston, MA

Property	Dunmore Calloway Health Center
Period Ending	February 20, 2021
Basis	Accrual - Trailing 12 Months
Prepared By	Harbor Point Management Group
Size	173,988 SF

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	718,617	746,121	758,410	743,092	737,625	735,369	761,873	752,940	726,265	705,030	694,776	719,186	8,799,303
4010 Loss to Lease	532,508	535,266	579,304	560,161	529,214	520,725	526,814	560,250	548,046	531,050	579,526	534,457	6,537,321
4020 Vacancy Loss	586,130	539,686	554,502	579,280	579,874	534,479	564,771	569,512	534,520	568,034	558,891	549,963	6,719,641
4030 Concessions	477,688	425,240	474,545	432,063	434,616	460,373	431,973	454,096	481,926	437,735	429,485	443,882	5,383,623
4040 Bad Debt	452,654	453,912	432,297	446,681	424,001	441,173	443,864	412,432	427,727	399,990	402,330	435,387	5,172,447
4050 Late Fees	352,604	344,534	390,660	361,028	391,052	387,076	370,473	388,586	365,314	364,862	354,869	380,740	4,451,799
4060 Utility Reimbursements	607,729	556,645	630,304	592,255	582,668	571,706	580,587	626,700	604,611	593,870	631,294	583,210	7,161,578
4070 Parking Income	45,808	49,405	50,814	46,593	50,600	48,111	50,816	46,874	51,893	48,083	51,894	49,415	590,305
4080 Application Fees	517,338	540,806	531,545	530,723	483,716	496,452	511,901	515,480	510,464	531,083	503,709	480,672	6,153,888
4090 Pet Rent	280,494	273,959	279,896	300,433	293,511	297,771	279,554	264,082	298,944	295,498	299,668	282,752	3,446,562
4100 Laundry Income	351,468	389,414	362,931	371,261	347,887	356,331	351,602	346,788	343,016	352,534	357,903	346,572	4,277,708
4110 Cable/Internet Revenue	386,018	391,601	374,502	390,967	387,424	355,911	377,837	393,586	386,254	347,884	347,202	373,652	4,512,837
4120 CAM Reimbursements	363,808	353,040	353,953	357,069	379,769	346,739	352,237	364,478	332,941	338,487	353,499	374,564	4,270,584
4130 Tax Reimbursements	89,591	90,368	85,803	85,787	90,285	90,937	80,698	81,605	83,288	87,434	82,486	88,400	1,036,683
4140 Insurance Reimbursemen	370,891	377,766	374,929	357,172	365,549	347,731	338,978	376,821	348,153	383,801	352,550	363,572	4,357,913
4150 Percentage Rent	386,956	364,283	381,325	392,495	380,471	393,285	375,154	378,509	407,340	375,304	388,326	376,971	4,600,420
4160 Misc. Income	596,851	577,077	641,698	642,834	631,362	586,278	600,086	604,790	589,658	581,357	616,835	581,090	7,249,915
4170 Payroll - Management	41,028	43,004	42,026	39,205	42,941	43,102	40,033	39,291	40,512	39,618	39,997	43,621	494,378
4180 Payroll - Leasing	34,044	32,424	33,887	34,290	33,797	33,302	36,780	34,441	35,565	32,420	35,986	34,860	411,795
4190 Payroll - Maintenance	31,493	32,728	32,559	30,220	29,350	28,775	29,149	28,877	29,138	31,580	31,585	31,359	366,813
4200 Payroll Taxes & Benefits	7,430	6,935	6,944	7,734	7,765	7,658	7,153	7,620	7,234	7,375	6,909	7,523	88,279
4210 Repairs - Plumbing	89,468	81,515	88,654	87,560	78,788	85,119	85,394	78,495	80,595	82,072	84,415	89,706	1,011,781
4220 Repairs - HVAC	83,994	84,366	88,194	83,615	79,688	86,533	82,328	84,960	88,385	80,697	80,794	88,983	1,012,538
4230 Repairs - Electrical	11,406	12,659	11,938	11,944	12,117	11,215	11,276	12,149	12,586	12,163	12,192	12,433	144,077

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4450 Licenses & Permits	89,479	82,204	88,293	82,177	86,260	78,554	81,633	80,042	87,457	79,220	87,629	85,796	1,008,742
4460 Management Fee	30,949	29,729	31,588	29,886	29,746	31,176	33,007	31,466	31,189	30,072	31,230	29,780	369,817
4470 Property Insurance	46,069	48,862	48,479	47,132	49,460	45,828	46,527	47,465	50,030	51,545	50,587	48,045	580,030
4480 Real Estate Taxes	46,154	43,760	46,965	45,548	42,522	44,777	43,868	44,837	41,649	45,992	43,920	42,299	532,290
4490 Asset Management Fee	10,614	10,863	10,887	9,818	10,203	9,755	9,728	10,818	9,873	10,573	10,361	10,515	124,006
4500 Replacement Reserves	38,293	39,777	38,008	40,696	41,554	39,538	38,346	38,877	41,618	39,721	39,432	41,842	477,702
4510 Roof Repairs	57,203	58,947	56,281	55,194	63,052	59,247	56,535	56,753	59,386	55,723	60,229	62,073	700,623
4520 Parking Lot Repairs	14,323	13,768	12,905	12,543	13,878	13,402	14,354	14,347	14,035	12,588	13,575	14,342	164,060
4530 Signage	36,218	39,411	36,009	34,680	38,960	37,761	36,464	36,556	37,858	34,895	34,431	39,022	442,264
4540 Tenant Improvements	79,643	80,751	79,149	81,971	83,011	76,164	78,567	74,236	81,571	82,749	83,421	75,513	956,747
4550 Leasing Commissions	55,835	55,073	55,666	53,699	56,896	58,093	50,712	53,499	51,723	51,545	55,764	50,617	649,122
4000 Gross Potential Rent	744,929	692,395	763,317	746,353	727,456	746,887	722,821	676,844	680,963	705,682	680,082	682,127	8,569,857
4010 Loss to Lease	565,523	567,919	563,225	515,155	551,878	514,607	525,602	554,492	554,167	517,568	569,404	563,425	6,562,966
4020 Vacancy Loss	407,873	411,039	397,464	392,301	402,214	361,574	408,091	368,435	412,644	362,682	394,411	372,881	4,691,608
4030 Concessions	35,252	36,466	39,445	36,256	37,492	36,210	38,787	38,663	38,159	39,524	35,247	36,131	447,632
4040 Bad Debt	196,656	197,445	185,620	196,634	196,776	191,261	191,336	187,242	185,912	208,491	206,366	208,815	2,352,553
4050 Late Fees	384,251	373,118	389,357	384,108	394,048	378,002	387,135	368,744	396,535	364,256	391,983	390,610	4,602,147
4060 Utility Reimbursements	184,517	186,967	180,387	194,500	193,411	177,389	200,754	189,876	195,841	196,151	196,947	192,696	2,289,435
4070 Parking Income	117,401	115,479	119,717	115,602	119,545	126,552	114,776	119,545	119,123	125,188	119,370	126,743	1,439,040
4080 Application Fees	133,977	146,833	145,654	147,464	151,727	144,034	146,614	146,693	145,229	140,420	138,957	137,988	1,725,589
4090 Pet Rent	87,117	93,252	92,852	90,601	89,715	86,803	85,508	91,082	93,750	88,398	94,427	91,307	1,084,813
4100 Laundry Income	180,182	178,621	182,655	202,381	197,712	198,872	202,304	184,988	197,466	189,190	198,429	183,412	2,296,210
4110 Cable/Internet Revenue	448,510	443,376	433,486	434,709	431,838	437,837	419,797	444,429	443,138	439,365	435,022	451,140	5,262,648
4120 CAM Reimbursements	284,330	271,256	269,118	255,828	269,742	255,690	283,081	263,771	251,705	280,267	275,641	258,078	3,218,507
4130 Tax Reimbursements	325,764	319,656	322,103	293,163	298,318	320,556	328,131	294,068	333,619	334,928	316,121	301,244	3,787,670
4140 Insurance Reimbursemen	98,842	102,446	92,574	89,417	92,151	89,975	94,313	100,209	93,645	99,170	100,688	99,253	1,152,682
4150 Percentage Rent	26,053	24,201	25,816	24,726	26,454	25,162	25,499	24,453	25,764	26,107	25,910	26,005	306,149
4160 Misc. Income	64,760	62,804	66,051	68,782	68,586	68,920	62,624	67,971	64,136	62,232	63,028	67,490	787,384
4170 Payroll - Management	57,402	57,889	55,916	60,226	60,847	61,355	57,319	57,290	58,927	58,428	54,688	62,124	702,410
4180 Payroll - Leasing	30,468	29,518	29,658	31,933	30,224	28,012	31,216	28,201	28,268	30,872	30,404	30,446	359,219
4190 Payroll - Maintenance	58,755	57,292	59,580	60,284	63,814	62,810	63,470	58,685	60,797	64,530	65,241	61,255	736,513
4200 Payroll Taxes & Benefits	45,551	45,431	48,755	48,724	46,717	43,774	47,562	48,754	47,194	43,814	44,189	43,449	553,916
4210 Repairs - Plumbing	28,359	28,562	27,877	29,591	30,041	30,149	29,636	28,062	28,889	30,682	29,371	28,997	350,215
4220 Repairs - HVAC	65,780	66,569	66,278	68,238	63,364	64,315	63,556	66,246	65,952	62,512	67,566	65,343	785,719
4230 Repairs - Electrical	64,236	66,972	69,084	62,303	61,435	62,003	68,173	69,700	67,963	65,086	65,698	61,311	783,965
4240 Repairs - Appliances	80,488	76,187	80,858	74,210	81,462	73,907	79,523	73,670	74,259	74,421	71,735	75,725	916,445
4250 Painting & Decorating	67,317	64,414	67,436	67,133	63,642	60,985	64,326	64,458	63,209	62,748	66,082	67,754	779,504
4260 Flooring	74,016	76,213	75,868	72,275	71,884	68,122	67,994	72,584	69,322	75,443	67,173	75,408	866,302
4270 Make-Ready / Turnover	67,650	67,094	68,388	68,598	76,114	74,117	75,486	68,999	72,517	67,502	68,789	70,488	845,742
4280 Landscaping Contract	15,565	16,793	16,948	15,478	16,983	17,002	16,706	15,102	16,082	16,194	15,864	17,197	195,915
4290 Snow Removal	58,862	59,023	58,642	55,278	57,801	59,633	59,764	55,121	55,445	56,336	57,281	61,226	694,410
4300 Janitorial	34,860	35,380	34,762	35,139	34,777	38,639	36,273	36,905	36,370	35,059	37,386	35,195	430,745
4310 Pest Control	11,273	11,363	10,937	11,180	10,883	10,665	11,126	10,902	10,837	10,262	10,344	10,478	130,251
4320 Trash Removal	41,965	42,714	45,251	45,125	41,898	43,717	40,238	45,398	42,225	44,505	44,978	43,141	521,155
4330 Elevator Contract	83,892	81,492	77,841	87,715	83,893	79,570	86,670	77,648	77,806	81,260	82,589	80,666	981,041

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Operating Performance

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Management fees are calculated at 3.4% of collected revenue and are included in operating expenses. Operating expenses totaled $317,000 or approximately 46.57 per square foot, with real estate taxes representing the largest line item. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Debt service coverage ratio was 8.14x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period.

Debt service coverage ratio was 6.44x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 7.6% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 5.9% over the hold period. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Patient parking and ADA-compliant access are provided at a ratio of 6 spaces per 1,000 square feet.

Property Operations

Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The manager completes a monthly walk of the property and submits a variance report to the owner by the 10th business day. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Collections for the period were 88.5% of billed charges, with bad debt of 7.0% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 4th business day. Service requests are tracked through a work-order system with an average completion time of 2 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Financial Analysis

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 6.9% over the hold period. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Effective gross income for the trailing period was $317,000, representing a 5.9% increase over the prior year. Debt service coverage ratio was 6.56x on a trailing basis against a covenant minimum of 1.20x.

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Operating expenses totaled $145,000 or approximately 25.60 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 3.2% over the hold period. Patient parking and ADA-compliant access are provided at a ratio of 45 spaces per 1,000 square feet.

Property Operations

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Service requests are tracked through a work-order system with an average completion time of 13 hours. Patient parking and ADA-compliant access are provided at a ratio of 31 spaces per 1,000 square feet. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 92.7% of billed charges, with bad debt of 4.5% of gross potential income.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 34 additional team members. Patient parking and ADA-compliant access are provided at a ratio of 25 spaces per 1,000 square feet. The manager completes a monthly walk of the property and submits a variance report to the owner by the 43th business day.

Financial Analysis

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Summary and Notes

Valuation Discussion

Effective gross income for the trailing period was $281,000, representing a 12.9% increase over the prior year. Operating expenses totaled $461,000 or approximately 43.07 per square foot, with real estate taxes representing the largest line item. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Net operating income is projected to grow at a compound annual rate of 3.9% over the hold period.

Management fees are calculated at 7.8% of collected revenue and are included in operating expenses. The going-in capitalization rate of 5.14% reflects the in-place income and the stabilized occupancy assumption. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Debt service coverage ratio was 7.79x on a trailing basis against a covenant minimum of 1.20x.

Management Commentary

Patient parking and ADA-compliant access are provided at a ratio of 19 spaces per 1,000 square feet. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Service requests are tracked through a work-order system with an average completion time of 18 hours.

Patient parking and ADA-compliant access are provided at a ratio of 30 spaces per 1,000 square feet. The manager completes a monthly walk of the property and submits a variance report to the owner by the 23th business day. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 91.1% of billed charges, with bad debt of 3.4% of gross potential income.

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